

EXECUTIVE SUMMARY

Customer Segmentation & Churn Pattern Analytics in European Banking

Prepared for Unified Mentor | The European Central Bank | Taha S. Travadi, GEC Bhavnagar | October 2026

This summary presents the headline findings of a customer-level churn analysis covering 10,000 retail banking customers across France, Germany, and Spain. The goal was to identify which customer groups carry the highest churn risk and to quantify the financial exposure that risk represents, so that retention resources can be targeted rather than spread evenly across the customer base.

Overall Churn Rate 20.37%	Highest-Risk Market Germany (32.44%)	Revenue at Risk €185.6M	High-Value Churn Rate 25.23%
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What We Found

- Germany is the single largest risk market — churning at double the rate of France and Spain, and accounting for 58% of all high-value customer churn.
- Customers aged 46–60 are the highest individual risk group (51% churn rate) across every country; customers aged 30–45 contribute the largest total volume of lost customers due to their larger share of the customer base.
- Counter-intuitively, the bank's highest-balance customers churn more often than lower-balance customers — its most financially valuable customers are also its highest flight risk.
- Female customers churn notably more than male customers (25.1% vs 16.5%), with the gap widest in Germany.
- Length of relationship (tenure) has almost no bearing on whether a customer stays — loyalty-by-tenure alone is not a reliable retention lever.

Financial Exposure

Customers who churned while holding a high-balance account represented €185.59 million in balances — 29% of all balances held by the bank's high-value customer segment. More than one in four of these high-value churners was a single, identifiable segment: German customers aged 30–45. This is the single most concentrated pocket of revenue risk identified in the analysis.

Recommended Actions

- Direct retention budget disproportionately toward Germany, with priority on customers aged 30–60 holding high balances.
- Establish proactive, relationship-manager-led outreach for high-balance customers aged 46–60 ahead of visible churn signals.
- Commission qualitative research (surveys/exit interviews) to understand the gender churn gap, particularly in Germany.
- Shift tenure-based loyalty spend toward the segment-targeted interventions above.
- Adopt the accompanying live Power BI dashboard as an ongoing monitoring tool for regional and relationship-management teams.

Supporting Deliverables

Deliverable	Purpose
Research Paper	Full methodology, segmentation logic, and detailed findings
Power BI Dashboard	Live, filterable tool for ongoing churn monitoring by segment
Executive Summary (this document)	One-page briefing for leadership and stakeholder decision-making